Sakar Healthcare Ltd

Concall Tracker: earning trigger and management consistency check · Quarter folder Q1-2027 · Report date 6 Nov 2026 · Screener ticker SAKAR · Builds on the Q4-2026 report

Plain-word key: Oncology = cancer drugs. Bavla = Sakar's Europe-approved cancer-drug factory near Ahmedabad. CMO / contract making = making medicines for other drug companies under their brand. Marketing authorisation (MA) = a country's permission to sell a specific drug. Site variation = a partner's approval to switch production of an already-approved drug to Sakar's plant. API = the active chemical inside a medicine. CEP = a European certificate for an API.

1. Snapshot

What it does, in plain words: Sakar is a small Gujarat drug maker. Its older business makes ordinary tablets, liquids and injections, much of it for other companies and for emerging-market exports. Its growth bet is cancer drugs from the Bavla plant, sold three ways: made for big Indian pharma companies, exported through partners like Accord (Intas) and Torrent, and in time sold abroad under its own licences. It also makes some of the cancer-drug chemicals itself, which should lift margins.

Number	Value	What it means
Market value	₹2,171 cr (share ₹976)	What the stock market says the whole company is worth today.
Price to earnings (P/E)	about 51x	You pay about ₹51 for every ₹1 of yearly profit. Pricey for a company this size; the market is paying for the cancer-drug plan.
Q1 FY27 sales	₹73 cr, up 38%	Sales for April to June 2026. Strong year-on-year, but roughly flat against the last three quarters (₹70-73 cr).
Q1 FY27 operating profit (EBITDA)	₹21 cr, margin 29%	About ₹29 of operating profit on every ₹100 of sales, up 67% in rupees on a year ago.
Q1 FY27 net profit	₹10 cr, up 120%	Profit more than doubled from a low base a year ago.
Q1 cancer-drug sales	₹33 cr (exports ₹6.5 cr)	Oncology is now about 45% of sales. But only about a fifth of that is exports so far; the rest is made for Indian companies or sold as API.

2. Concall coverage

Quarter	Call date	How it was read
Q2 FY26 and Q3 FY26 (2 calls, the first calls Sakar ever held)	Nov 2025, Feb 2026	Carried forward from the Q4-2026 report
Q4 FY26 (full-year FY26), the prior boundary	May 2026	Read in full for the Q4-2026 report
Q1 FY27 (Apr to Jun 2026)	**29 Jul 2026**	**Newly deep-read in full ★**

Only the Q1 FY27 call was read in full; the backstory comes from the Q4-2026 report. A Q2 FY27 call (27 Oct 2026) exists but falls after this report's 30 Sep 2026 cut-off and is left for the next one. Four calls in total is still a short record.

★ Latest concall highlights - Q1 FY27 (call held 29 Jul 2026)

- **Good year-on-year, flat quarter-on-quarter.** Sales up 38% to ₹73 cr, operating profit up 67%, profit up 120% to ₹10 cr, margin 29%. But sales have sat at ₹70-75 cr for three quarters running, which an analyst pointed out on the call.
- **Big targets for FY27.** Management agreed with an analyst's ₹350 cr full-year sales figure, which needs about ₹90 cr a quarter from here. It aims to double cancer-drug sales (about ₹95 cr in FY26 to about ₹200 cr), grow oncology exports about ten-fold from the Q1 level by year-end, and reach about three times FY26 oncology sales (₹280-300 cr) in FY28.
- **Partner exports have started.** Seven site-variation approvals are in (five for Accord in Europe); three Accord products have shipped, and Torrent won German tenders for two Sakar-made drugs, which have shipped too. 33 tech-transfer projects are running with Accord-Intas, Torrent, Emcure, Glenmark and Zydus.
- **The own-brand Europe launch slipped again.** The first shipment under its own Bulgarian licences (three products, order received and goods made) is now expected "this quarter", after being promised for Q4 FY26. Management blamed first-time logistics and serialisation set-up.
- **Tone: upbeat and number-heavy.** 261 dossiers shared, 178 submitted, 16 licences received (target: double this year, 100+ next year), 55 cancer molecules developed. The Bavla plant could support ₹800-1,000 cr of sales in 4-5 years with no new capex.

Business mix and capacity

Domestic vs exports: the company-wide split was not given this call. Within cancer drugs, exports were ₹6.5 cr of ₹33 cr in Q1 (about a fifth); management wants exports at about 30% of oncology by the end of FY27. *Plain read: today the cancer business is still mostly made-for-Indian-companies work; the export leg is just starting.*
Capacity utilisation: no fresh figure this call; management repeated there is "substantial headroom" at Bavla (the last stated figure was under 30% used). *Plain read: there's room to more than triple output without spending on new plant, so extra sales should drop through to profit.*

Since our last report (builds on the Q4-2026 report, call of May 2026)

Prior verdicts carried forward: **Durable earning trigger: MAYBE** (leaning yes) · **Management consistent: MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Trigger: cancer drugs from a paid-for plant	Real, but the export leg was near zero	Oncology up to about 45% of sales; partner exports now shipping, but only ₹6.5 cr	Improving
Consistency	Steady story, misses on hard numbers	Same pattern: steady story, the own-brand Europe date slipped again, and a new big target	Unchanged
First own-brand European export (Bulgaria)	Slipped from Q4 FY26 into FY27	Still not shipped; now "this quarter"	Slipping
Accord/Intas tech transfer (only ~2 of 10 live)	Headline numbers, little shipped	7 site variations approved, 3 Accord products shipped, plus Torrent tenders in Germany	Improving
No new capex, low debt	Held for three calls	Held again; no capex needed for 3-4 years	Confirmed
Margin	Recovered after a dip	29%; target ~30% for FY27, 35%+ on products using its own API	On-track

Verdict change this quarter: both verdicts unchanged. The trigger is a little stronger because partner exports have actually begun, but they are still small and own-brand Europe has not shipped. On consistency, the slip on Bulgaria and a fresh, much larger target (₹350 cr after missing ₹280 cr last year) keep it at MAYBE.

3. Earning trigger thesis

The driver is the Bavla cancer-drug plant filling up. It's built, paid for and mostly idle, so every extra rupee of cancer-drug sales should earn a better margin than the old business. The growth is meant to come in three steps: more work for Indian companies (domestic contract making to double this year), exports through partners who switch their European production to Sakar (already starting), and exports under Sakar's own licences (not started). Making its own API for some products is meant to push margins on those to 35% or more.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Oncology at Bavla overall	Double oncology in FY27, triple FY26 level in FY28	₹33 cr in Q1 (≈ ₹130 cr a year pace vs ~₹200 cr target)	Now to FY28	Moderate-Strong	↑ improving
Partner exports (site variations)	Accord, Torrent, Emcure/ Tillomed products to Europe	7 approvals, 3 Accord products and Torrent tenders shipped	FY27	Moderate: started, still small	↑ improving
Own-licence exports	16 licences now, 100+ next year; Bulgaria first	Nothing shipped yet; date slipped again	FY27-FY28	Unproven	↓ weakening (another slip)
Own API (backward integration)	7 APIs with European certificates in 2-3 quarters; margins 35%+	2 certificates in hand (Gefitinib, Cytarabine)	FY27-FY28	Moderate	new this quarter
Old non-cancer business	Grows 7-8% a year at ~25% margin	Steady cash base	Now	Moderate	unchanged

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
AGM to Q3 FY26	FY26 sales ₹280 cr	₹252 cr; the miss was never owned on the calls	Missed
Q2 FY26	Margin dip is one-off, back on track from Q3	26%, 37%, then 29% in Q1 FY27	Delivered
Q2 FY26 onward	First European own-licence shipment in Q4 FY26	Pushed to FY27, then to "this quarter" (Q2 FY27); not shipped by the Q1 call	Slipped twice
Q2 FY26 onward	Accord/Intas tech-transfer deal becomes real business	7 site variations approved, 3 products shipped	Partly (moving)
Every call	No new capex, keep debt low	Held again	Delivered
Jul 2026 (new)	FY27 sales ~₹350 cr; oncology doubles; exports ~10x Q1 level by year-end	Q1 at ₹73 cr needs about ₹90 cr a quarter from here	Too early

Narrative drift: the story itself hasn't changed. It's still "pure-play cancer-drug exporter off a paid-for plant", and the capex discipline is real. The pattern that worries me is the gap between big pipeline counts (dossiers, contracts, licences) and actual export rupees: ₹6.5 cr in the quarter. A new spokesperson (VP Strategy) ran this call. The hard numbers keep getting set high and met late.

5. Bottom line - two verdicts

Durable earning trigger? → MAYBE (leaning yes) vs last quarter: unchanged

Slightly better than last time: partner exports to Europe have actually started, oncology is now close to half of sales, and margin held near 30%. The driver is real and it's already in the profit line. What still stops a clean YES is that sales have been flat for three quarters, exports are tiny, and the own-licence leg that carries the best margins hasn't shipped a single box yet.

Management consistent? → MAYBE vs last quarter: unchanged

The good half held: same strategy, no new capex, margins where they said. The weak half repeated: the Bulgaria launch slipped a second time, and after missing ₹280 cr in FY26 they signed up to ₹350 cr for FY27 from a ₹73 cr first quarter. Next report should check whether Bulgaria shipped and whether quarterly sales broke out of the ₹70-75 cr range.

Prepared from the Q1 FY27 earnings-call transcript (29 Jul 2026), the Q4-2026 Concall Tracker report on this company, and Screener.in financial data. This is an analysis of management commentary and reported figures, not investment advice.